

ESOP Financing Executive Summary

Purpose: To provide employees with indicative ESOP financing options available through external financiers, facilitating informed decision making when exercising vested ESOPs.

Why ESOP Financing May Help

To exercise vested ESOPs, employees are required to pay the exercise price upfront. Depending on the number of options being exercised, this amount can sometimes be significant and may not be readily available from personal savings.

ESOP financing provides a convenient funding option by helping employees meet this upfront cash requirement through a loan. The financing is typically secured against the shares that will be allotted upon exercise. This allows employees to exercise their ESOPs without arranging the entire amount from their own funds immediately.

Available Financing Providers (Indicative Comparison)

Broad details provided below for quick comparison, please refer to individual brochures for comprehensive details :

Parameter	Nuvama	Bajaj Broking	Infina
Interest Rate (0-30 days)	8.50%	8.20%	8.25%
Interest Rate (31-60 days)	9.00%	9.00%	9.25%
Interest Rate (61-90 days)	9.25%	9.00%	9.25%
Interest Rate (91-180 days)	9.50%	9.50%	9.75%
Interest Rate (181-365 days)	9.50%	9.50%	10.00%
Beyond 365 days	Not specified	10.50%	60-month revolving facility
Maximum Funding (LTV)	75% of Current Mkt. Price	80% of Current Mkt. Price	50% of Current Mkt. Price
Processing Fee	0.30%	0.25%	0.25%
Brokerage	0.20%	0.10%	0.10%
Demat with Financier Required?	No*	Yes	No
Maximum Loan Tenure	365 days	365+ days	5 years (60 months)
Special Requirement	Nuvama demat only if LTV >50%	Bajaj Broking demat & trading account mandatory	Existing demat/trading account can continue

* Nuvama Demat account required only when maximum funding exceeds 50% current market price.

Provider SPOCs

Organisation	Name	Phone Number	Email
Nuvama	Arjun Mukherjee	+91 9821221584	arjun.mukherjee@nuvama.com
Bajaj Broking	Mukul Karande	+91 7522955783	Mukul.karande@bajajbroking.in
Infina	Nikhil Thorat	+91 9850998922	nikhil.thorat@infina.in

Important Disclaimer

Bajaj Auto Limited is facilitating awareness of potential ESOP financing options for employee convenience only. Any financing arrangement, loan documentation, account opening, pledge creation, servicing, repayment, sale of shares, taxation, charges, disputes, losses, defaults, or other obligations shall be solely between the employee and the respective financing institution. Bajaj Auto Limited does not recommend, endorse, guarantee, underwrite, verify, or assume responsibility for any financing product, commercial term, service quality, credit decision, or outcome. Employees are advised to independently evaluate the terms and seek professional financial and tax advice before entering into any financing arrangement.